outweigh the costs. If there are few odious regimes today, and many possible switches, the reverse is true.

In sum then, one does not need conspiracy theories to explain why the odious debt proposal has not gone anywhere, or why newly legitimate governments like that of post-apartheid South Africa have accepted the responsibility of servicing the potentially odious debts they inherited. The concern that debt markets might be disrupted is well-founded. But there are also potential benefits that deserve further investigation. If researchers had their way, we would pick one petty dictator through a random draw, declare his debt odious, and watch what happened. This suggestion is unlikely to find many takers – the notion of experimenting with countries seems repugnant to most. So in the absence of research that will use existing data cleverly to inform us, or fortuitous natural experiments, it is not surprising nor even unfair that the odious debt proposal is likely to stay in cold storage.

Many of the facts in this article are drawn from 'Odious Debt,' a working paper by Michael Kremer and Seema Jayachandran, published by the National Bureau of Economic Research in the U.S. in May 2002.